

Digital Business



Topic 6

Digital Marketing

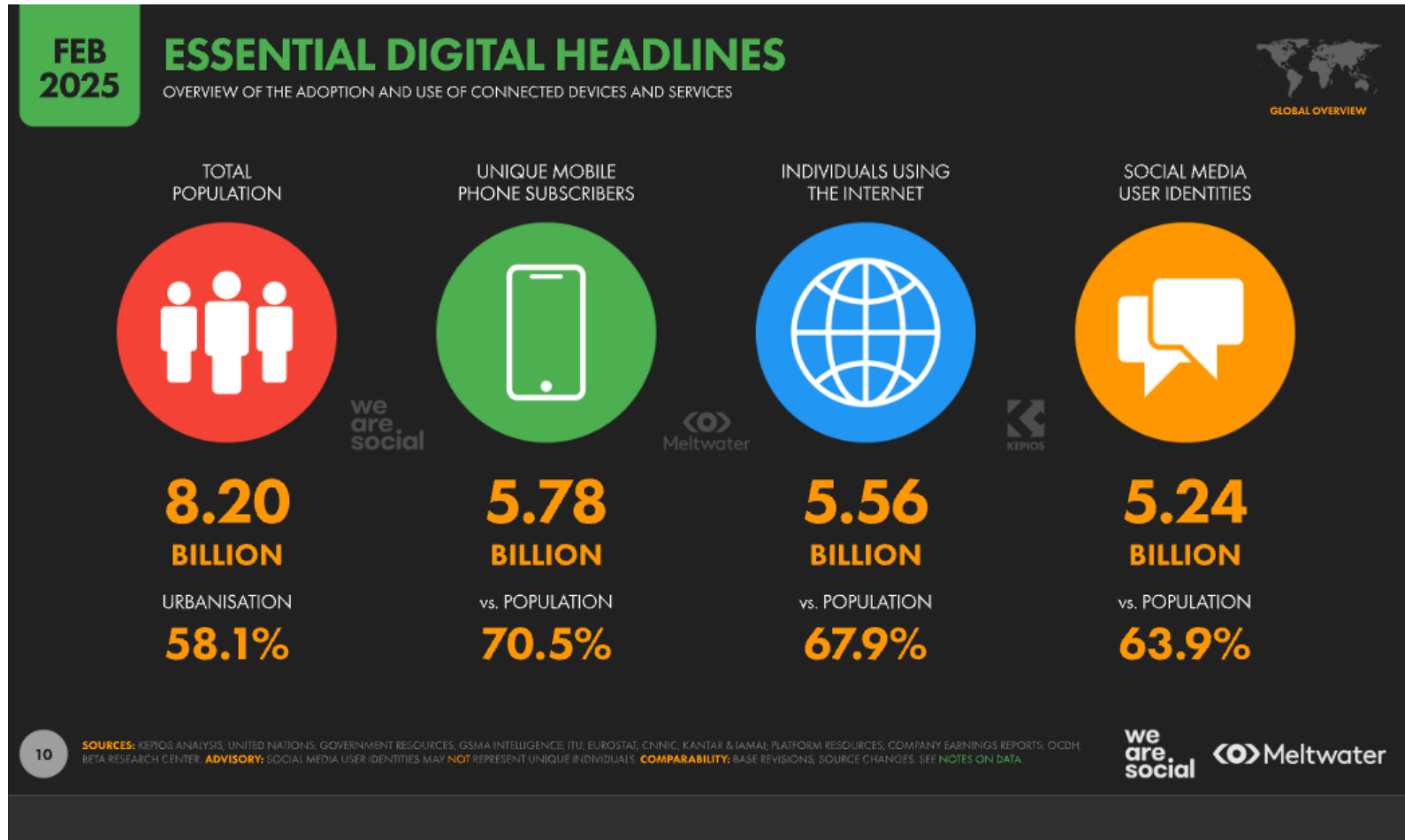
Learning Objectives

6.1 Understand the key features of the Internet audience, the basic concepts of consumer behavior and purchasing, and how consumers behave online.

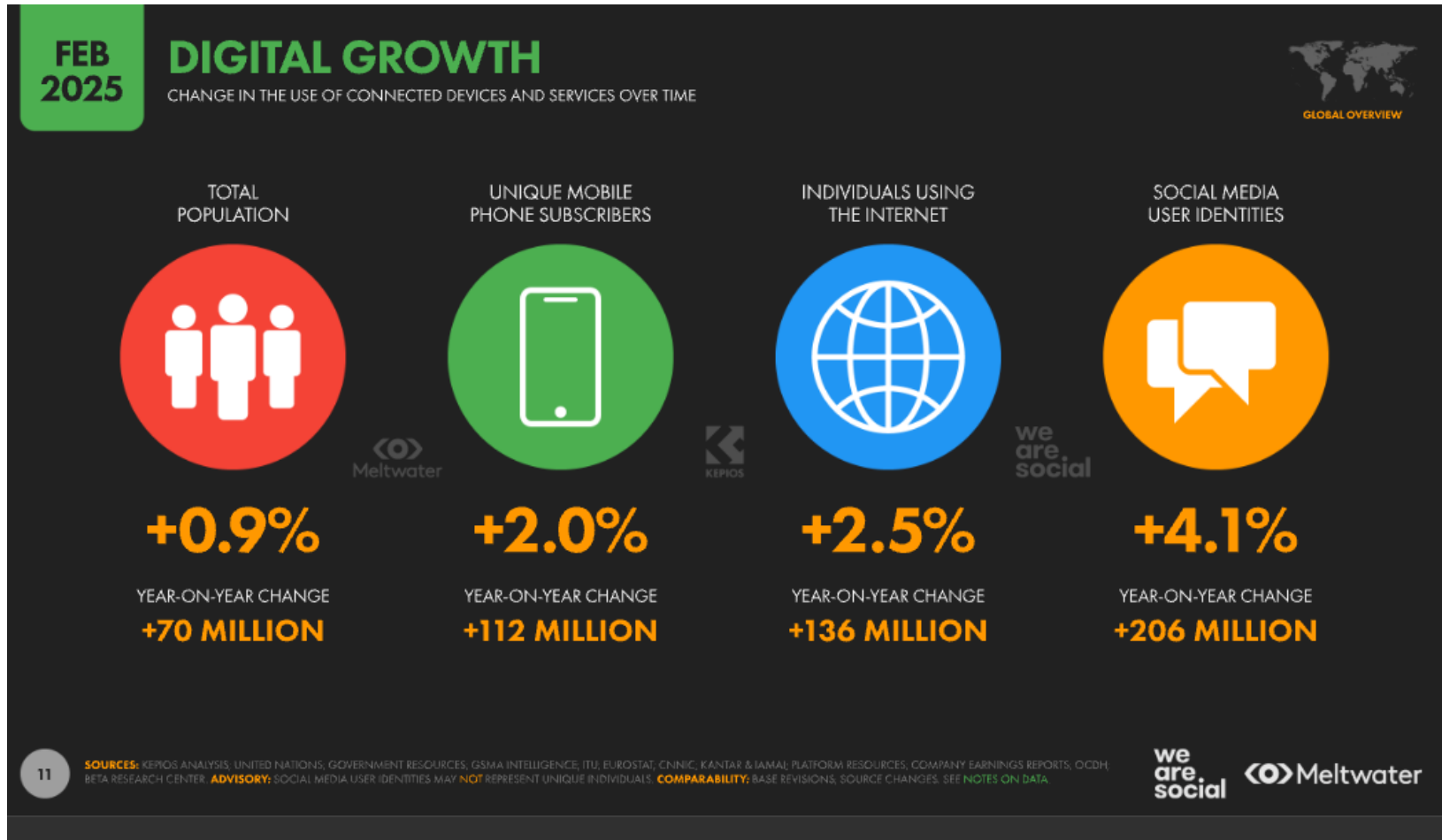
6.2 Identify and describe the basic digital commerce marketing and advertising strategies and tools.

6.3 Identify and describe the main technologies that support online marketing.

Consumers Online: The Internet Audience and Consumer Behavior



Consumers Online: The Internet Audience and Consumer Behavior



Consumers Online: The Internet Audience and Consumer Behavior

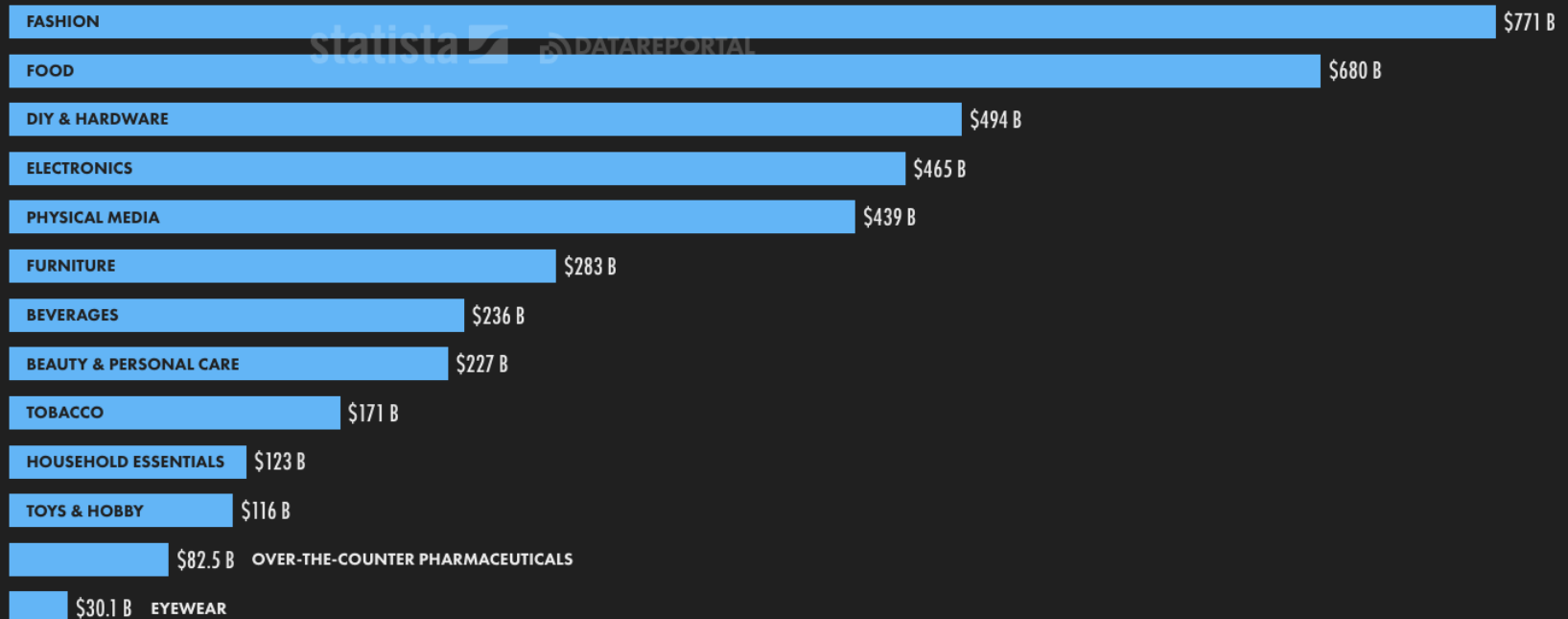


Consumers Online: The Internet Audience and Consumer Behavior

FEB
2025

ECOMMERCE: CONSUMER GOODS CATEGORIES

ESTIMATED ANNUAL SPEND IN EACH CONSUMER GOODS ECOMMERCE CATEGORY (B2C ONLY, U.S. DOLLARS, FULL-YEAR 2024)



181

SOURCE: STATISTA ECOMMERCE MARKET. SEE [STATISTA.COM](https://www.statista.com). **NOTES:** WHERE LETTERS ARE SHOWN NEXT TO FIGURES ABOVE BARS, "K" DENOTES THOUSANDS [E.G. "123 K" = 123,000], "M" DENOTES MILLIONS [E.G. "1.23 M" = 1,230,000], AND "B" DENOTES BILLIONS [E.G. "1.23 B" = 1,230,000,000]. WHERE NO LETTER IS PRESENT, VALUES ARE SHOWN AS IS. FIGURES REPRESENT ESTIMATES OF FULL-YEAR REVENUES FOR 2024 IN U.S. DOLLARS, AND COMPARISONS WITH THE PREVIOUS CALENDAR YEAR. THE "PHYSICAL MEDIA" CATEGORY DOES NOT INCLUDE DIGITAL DOWNLOADS OR STREAMING. **COMPARABILITY:** SIGNIFICANT BASE REVISIONS AND MAJOR CATEGORY DEFINITION CHANGES. FIGURES ARE NOT COMPARABLE WITH PREVIOUS REPORTS.

we
are
social

Meltwater

Consumers Online: The Internet Audience and Consumer Behavior

- Broadband and mobile
 - Significant inequalities in broadband access
 - Older adults, lower income, lower educational levels
 - Non-broadband household still accesses Internet via mobile or other locations
- Community effects
 - Role of social emulation in consumption decisions
 - “Connectedness”
 - Top 10-15% are more independent
 - Middle 50% share more purchase patterns of friends
 - Recommender systems - co-purchase networks

Shoppers: Browsers and Buyers

- Shoppers: Over 90% of Internet users
 - Around 80% are buyers
 - Around 13% are browsers (purchase offline)
- Online research influenced about \$3.6 trillion of retail purchases in 2020
- Online traffic also influenced by offline brands and shopping
- E-commerce and traditional commerce are coupled: Part of a continuum of consuming behavior

How Consumers Shop

- How shoppers find online vendors
 - Highly intentional, goal-oriented
 - Search engines
 - Marketplaces (Amazon, eBay)
 - Specific retail site
- About 8% of Internet users don't shop online
 - Trust factor
 - Hassle factors (shipping costs, returns, etc.)

Trust, Utility, and Opportunism in Online Markets

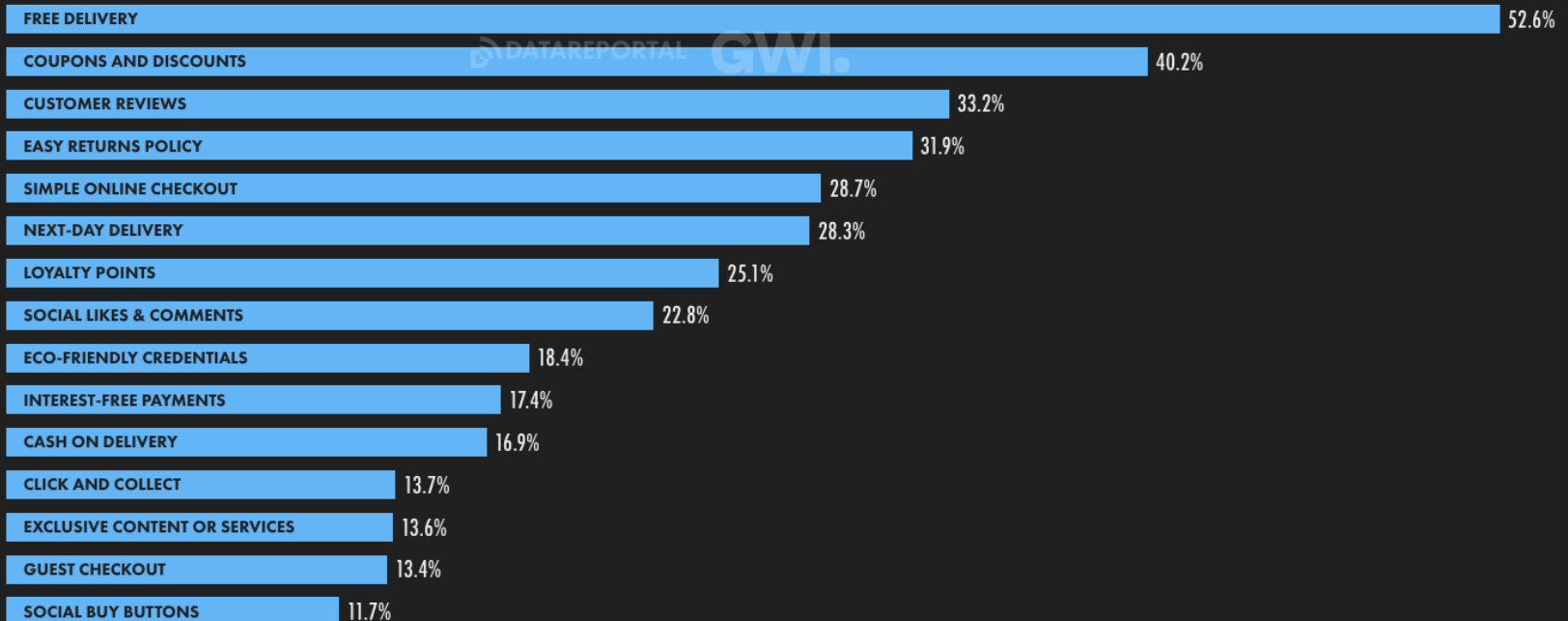
- Two most important factors shaping decision to purchase online:
 - Utility:
 - Better prices, convenience, speed
 - Trust:
 - Perception of credibility, ease of use, perceived risk
 - Sellers develop trust by building strong reputations for honesty, fairness, delivery

Online Purchase Drivers

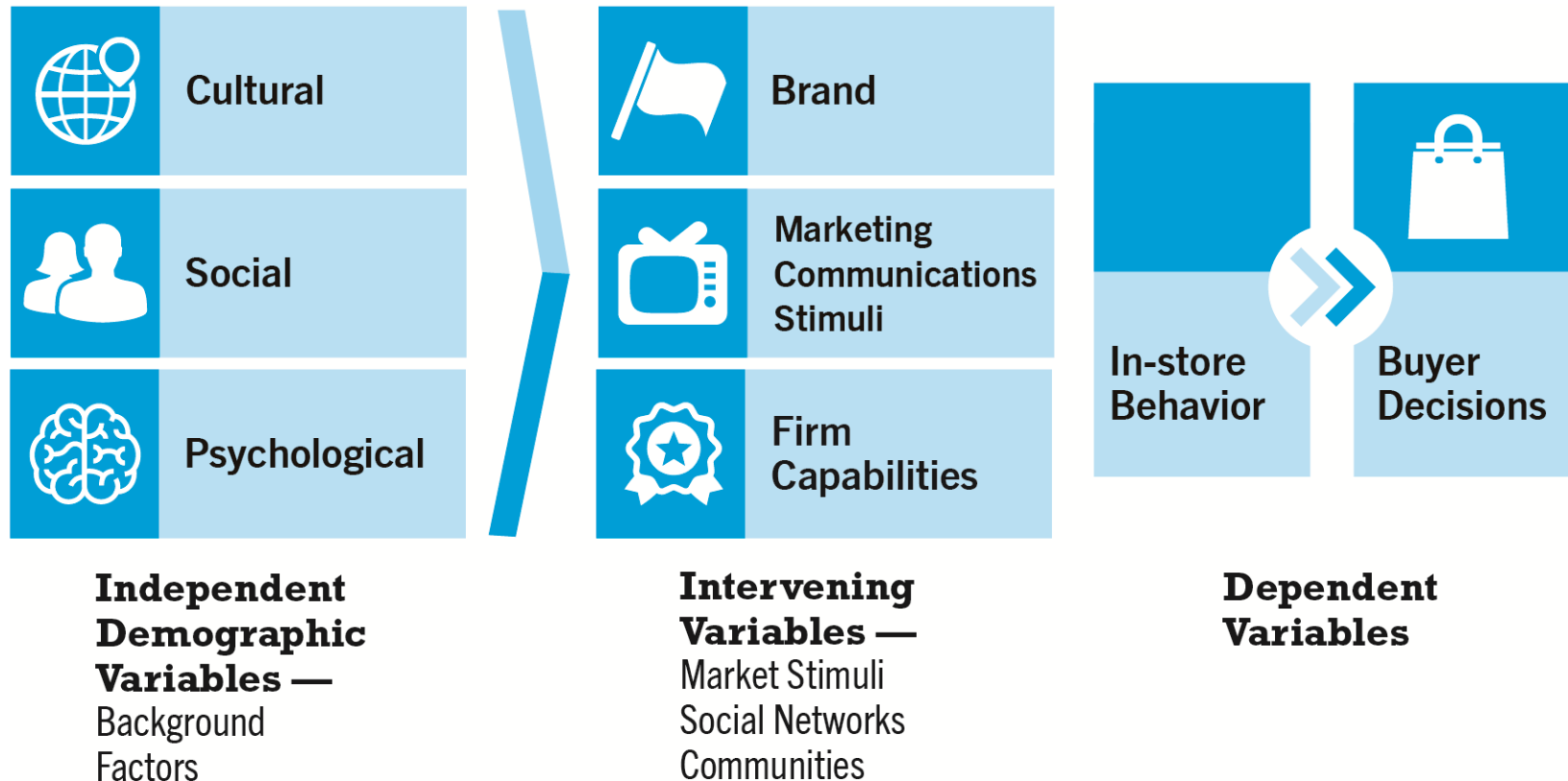
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ONLINE PURCHASE DRIVERS

PERCENTAGE OF **INTERNET USERS AGED 16+** WHO SAY EACH FACTOR WOULD ENCOURAGE THEM TO COMPLETE AN ONLINE PURCHASE



A General Model of Consumer Behavior



The Online Purchasing Decision

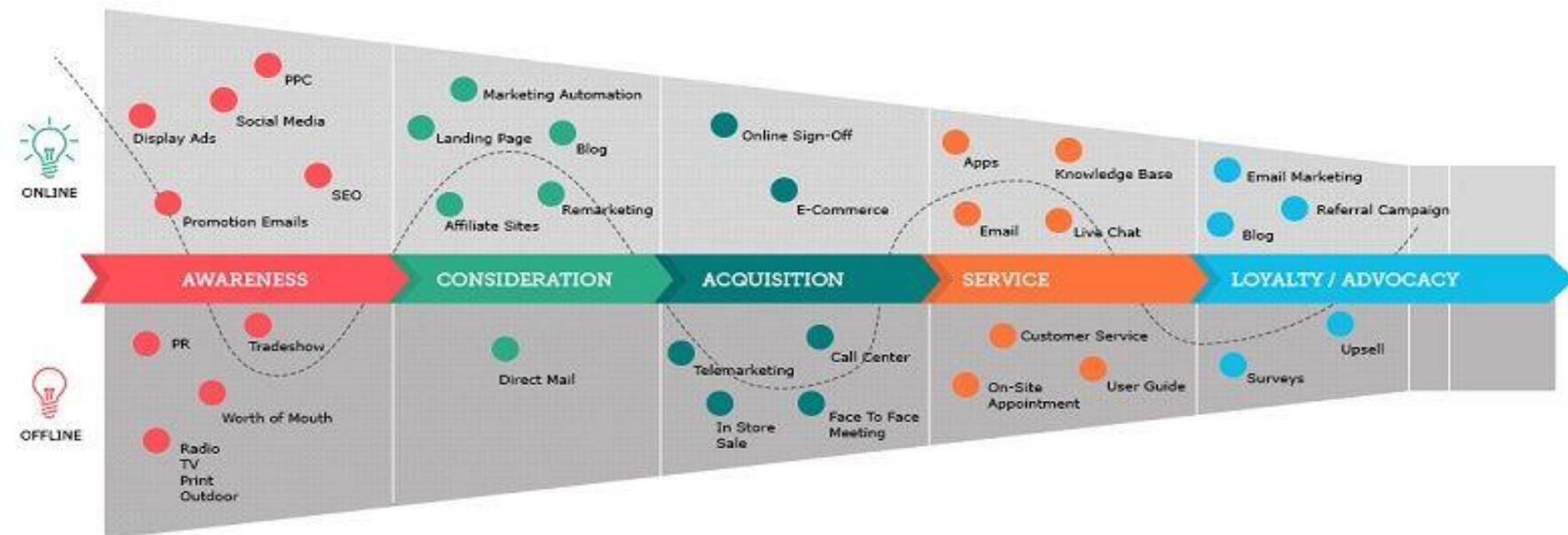
- Decision process similar for online and offline behavior
- General online behavior model
 - User characteristics
 - Product characteristics
 - Website features: latency, usability, security
 - Attitudes toward online purchasing
 - Perceptions about control over Web environment
- Clickstream behavior

The Online Purchasing Decision – Customer Journey Map



The Online Purchasing Decision – Customer Journey Map cont.

Path to Acquisition Digital Touch Points



Pre-, During and Post- experience



Search engines



Mobile app



Review websites



Hotel website



In-room technology



Social media



Online travel agencies



Interactive screens



E-mail



Review websites

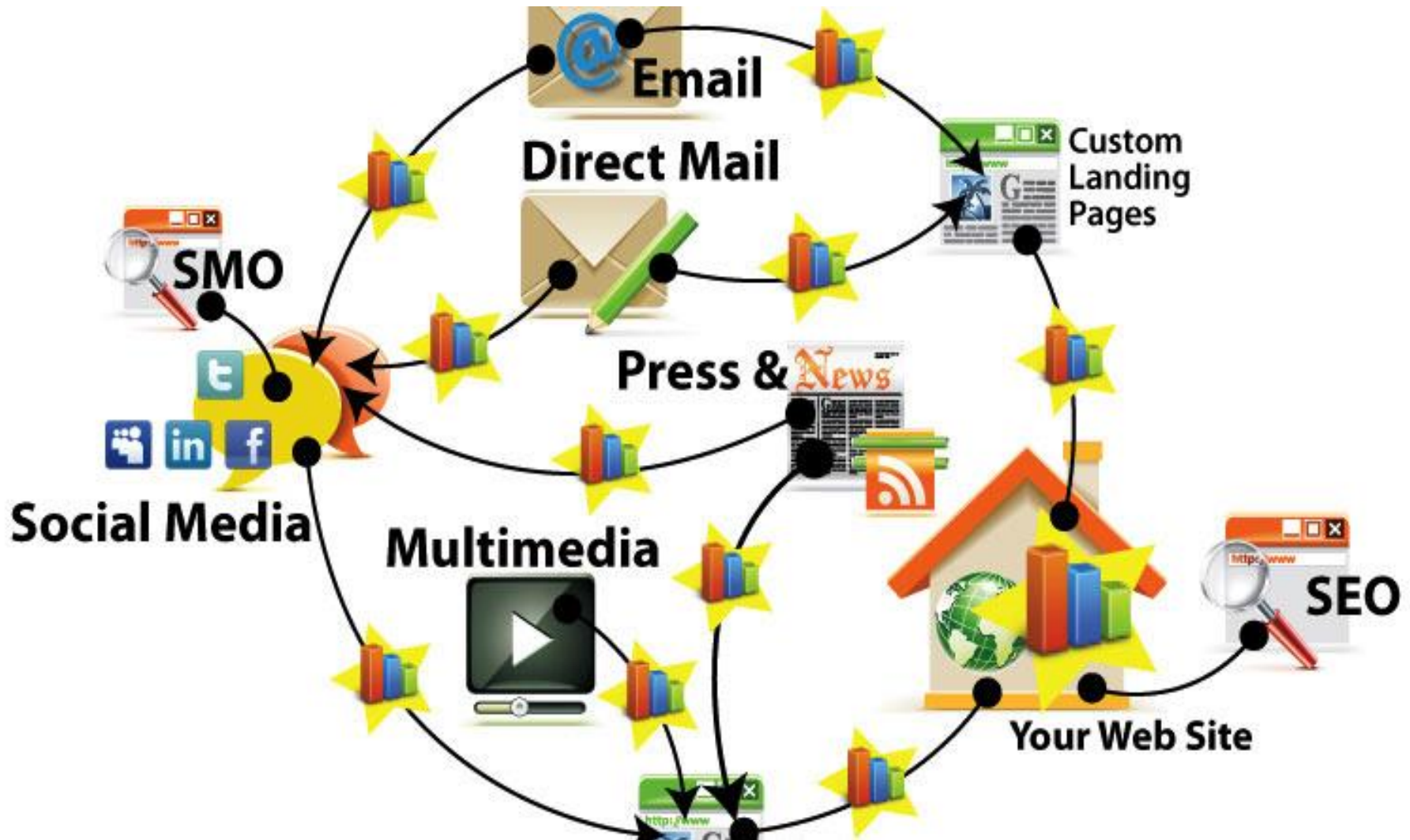


Social media

Bumble Bee – Non-linear journeys



Bumble Bee – Non-linear journeys



Multi-Channel Marketing Plan

- Website
- Traditional online marketing
 - Search engine, display, e-mail, affiliate
- Social marketing
 - Social networks, blogs, video, game
- Mobile marketing
 - Mobile/tablet sites, apps
- Offline marketing
 - Television, radio, newspapers

Website

- Website functions to:
 - Establish brand identity and customer expectations
 - Differentiating product
 - Anchor the brand online
 - Central point for all marketing messages
 - Inform and educate customer
 - Shape customer experience



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Online Marketing and Advertising

- Online advertising
 - Display, search, mobile messaging, sponsorships, classifieds, lead generation, e-mail
 - Advantages:
 - 18-34 audience is online
 - Ad targeting to individuals
 - Price discrimination
 - Personalization

Traditional Online Marketing and Advertising Tools

- Search engine marketing and advertising
- Display ad marketing
- E-mail marketing
- Affiliate marketing
- Viral marketing
- Lead generation marketing

Search Engine Marketing and Advertising (1 of 2)

- Search engine marketing (SEM)
 - Use of search engines for branding
- Search engine advertising
 - Use of search engines to support direct sales
- Types of search engine advertising
 - Paid inclusion
 - Pay-per-click (PPC) search ads
 - Keyword advertising
 - Network keyword advertising (context advertising)

Search Engine Marketing and Advertising (2 of 2)

- Search engine optimization (SEO)
- Google search engine algorithms
- Social search
 - Utilizes social contacts and social graph to provide fewer and more relevant results
- Search engine issues
 - Paid inclusion and placement practices
 - Link farms, content farms
 - Click fraud

On-The-Page SEO

Content	Architecture	HTML
Cq ⁺³ Quality	Ac ⁺³ Crawl	Ht ⁺³ Titles
Cr ⁺³ Research	Am ⁺³ Mobile	Hd ⁺² Description
Cw ⁺² Words	Ad ⁺² Duplicate	Hs ⁺² Structure
Cf ⁺² Fresh	As ⁺² Speed	Hh ⁺¹ Headers
Cv ⁺² Vertical	Au ⁺¹ URLs	Vs ⁻² Stuffing
Ca ⁺² Answers	Ah ⁺¹ HTTPS	Vh ⁻¹ Hidden
Vt ⁻² Thin	Vc ⁻³ Cloaking	

Off-The-Page SEO

Trust	Links	Personal	Social
Ta ⁺³ Authority	Lq ⁺³ Quality	Pc ⁺³ Country	Sr ⁺² Reputation
Te ⁺² Engage	Lt ⁺² Text	Pl ⁺³ Locality	Ss ⁺¹ Shares
Th ⁺¹ History	Ln ⁺¹ Numbers	Ph ⁺² History	
Vd ⁻¹ Piracy	Vp ⁻³ Paid		
Va ⁻¹ Ads	Vi ⁻³ Spam		

Factors Work Together

All factors on the table are important, but those marked 3 carry more weight than 1 or 2. No single factor guarantees top rankings or success, but having several favorable ones increases the odds. Negative "violation" factors shown in red harm your chances.



Display Ad Marketing (1 of 2)

- Banner ads
- Rich media ads
 - Interstitial ads
- Video ads
 - Far more effective than other display formats
- Sponsorships
- Native advertising

Inside SPARKS [S2] | Adrian Pang shares favourite moments on Sparks set & more!
 DBS

Sparks Season 2
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Where has all the time gone?

Ad 1 of 2 · 1:28 · dbs.com/livemore/sparks

0:05 / 1:34

Skip Ads ▶

#DIY #mountainbiking
 Preparing Berm Peak for a new Downhill Zone!

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Up next

How Cam
 BCpc
 71K
 New

7 COMMON JUMPING MISTAKES
 Rich
 Reco
 New

ALASKAN MOUNTAIN BIKING
 Berm
 467K
 New

Mix
 YouT

FRIDAY FAILS
 #114
 4:29
 Pink
 67K
 New

Alex Jami
 Sky S

Display Ad Marketing (2 of 2)

- Content marketing
- Advertising networks
- Ad exchanges, programmatic advertising, and real-time bidding (RTB)
- Display advertising issues
 - Ad fraud
 - Viewability
 - Ad blocking

E-mail Marketing

- Direct e-mail marketing
 - Messages sent directly to interested users
 - Benefits include
 - Inexpensive
 - Average around 3% to 4% click-throughs
 - Measuring and tracking responses
 - Personalization and targeting
- Three main challenges
 - Spam
 - Anti-spam software
 - Poorly targeted purchased e-mail lists

Simplicity of Uber's Email Campaign

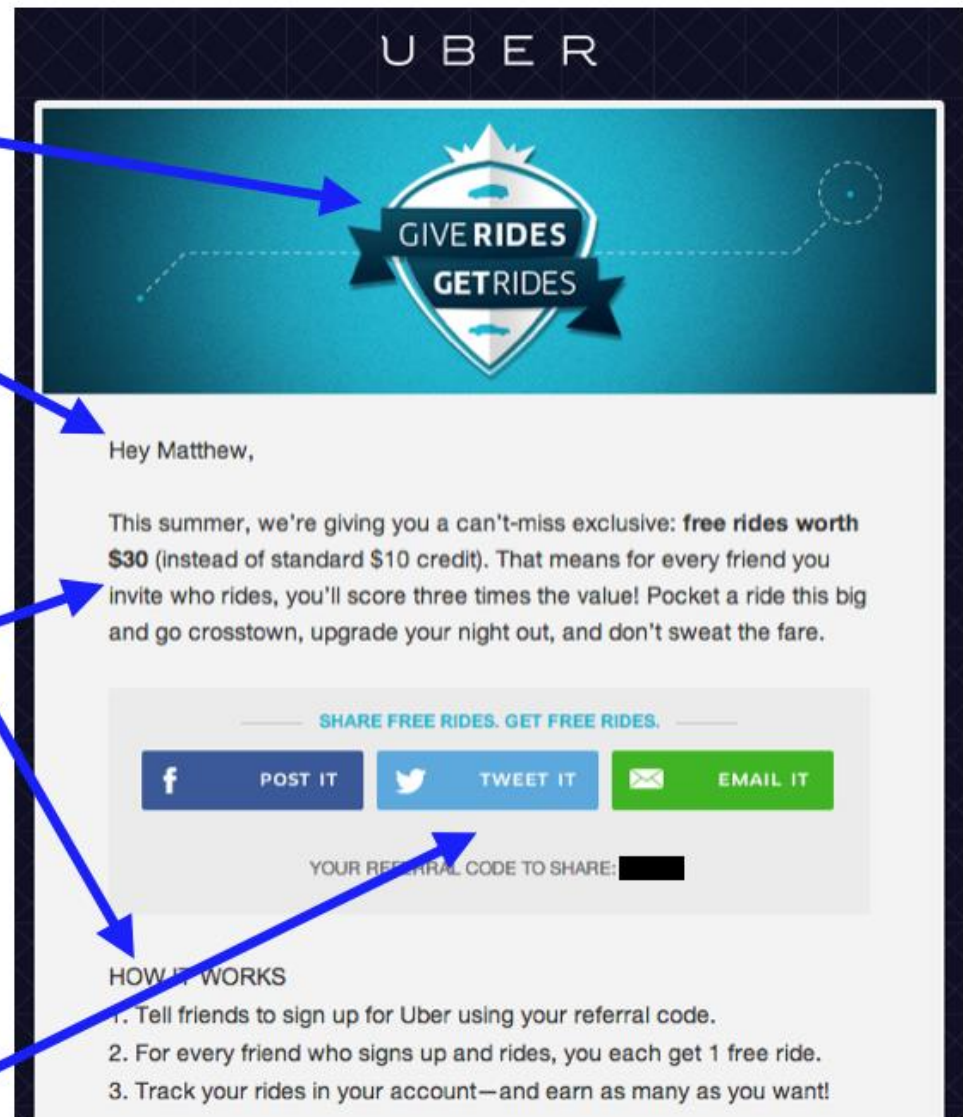


A branded image with text overlay can relay the point of your promotion.

Personalization instills trust in readers and often gets them to read the rest of the email.

Get right to the point regarding your promotion with a short paragraph and maybe a few bullet points.

Social and email sharing buttons can get recipients to spread word about your promotion.



Spam

- Unsolicited commercial e-mail
- Around 55% of all e-mail in 2017
- Most originates from bot networks
- Efforts to control spam have largely failed:
 - Government regulation (CAN - SPAM)
 - State laws
 - Voluntary self-regulation by industries (DMA)
 - Canada's stringent anti-spam laws

Other Types of Traditional Online Marketing

- Affiliate marketing
 - Commission fee paid to other websites for sending customers to their website
- Lead generation marketing
 - Services and tools for collecting, managing, and converting leads
- Local marketing
 - Geotargeting
 - Display ads in hyperlocal publications
 - Coupons

Social Media Marketing

- “Uses social media portals to positively influence consumers towards a website, company, brand, product, service, or a person” (Baker et al., 2013, p.3).
- “A form of digital marketing that uses social networking platforms to increase brand and product exposure and to cultivate meaningful relationships with consumers online” (DMI, 2022).
- “Organic sharing and paid advertising using social networks and their messaging services to gain awareness and response from target audiences. Also involves facilitating and monitoring customer to customer and customer to company interactions, and participation on social networks and other online communities where user generated content is created”. (Chaffey & Ellis-Chadwick, 2022, p.30).

Perhaps the best definition of Social Media Marketing

A large blue speech bubble with a white border contains the definition of Social Media Marketing. A single blue arrow points into the bubble from the left, and three blue arrows point out of the bubble to the right. The text inside the bubble is white and reads: 'THE USE OF SOCIAL MEDIA TECHNOLOGIES TO UNDERSTAND CONSUMERS, TO ENGAGE WITH THEM AND TO COLLABORATE, COMMUNICATE, DELIVER AND EXCHANGE OFFERINGS THAT HAVE VALUE FOR CUSTOMERS AND WIDER STAKEHOLDERS.'

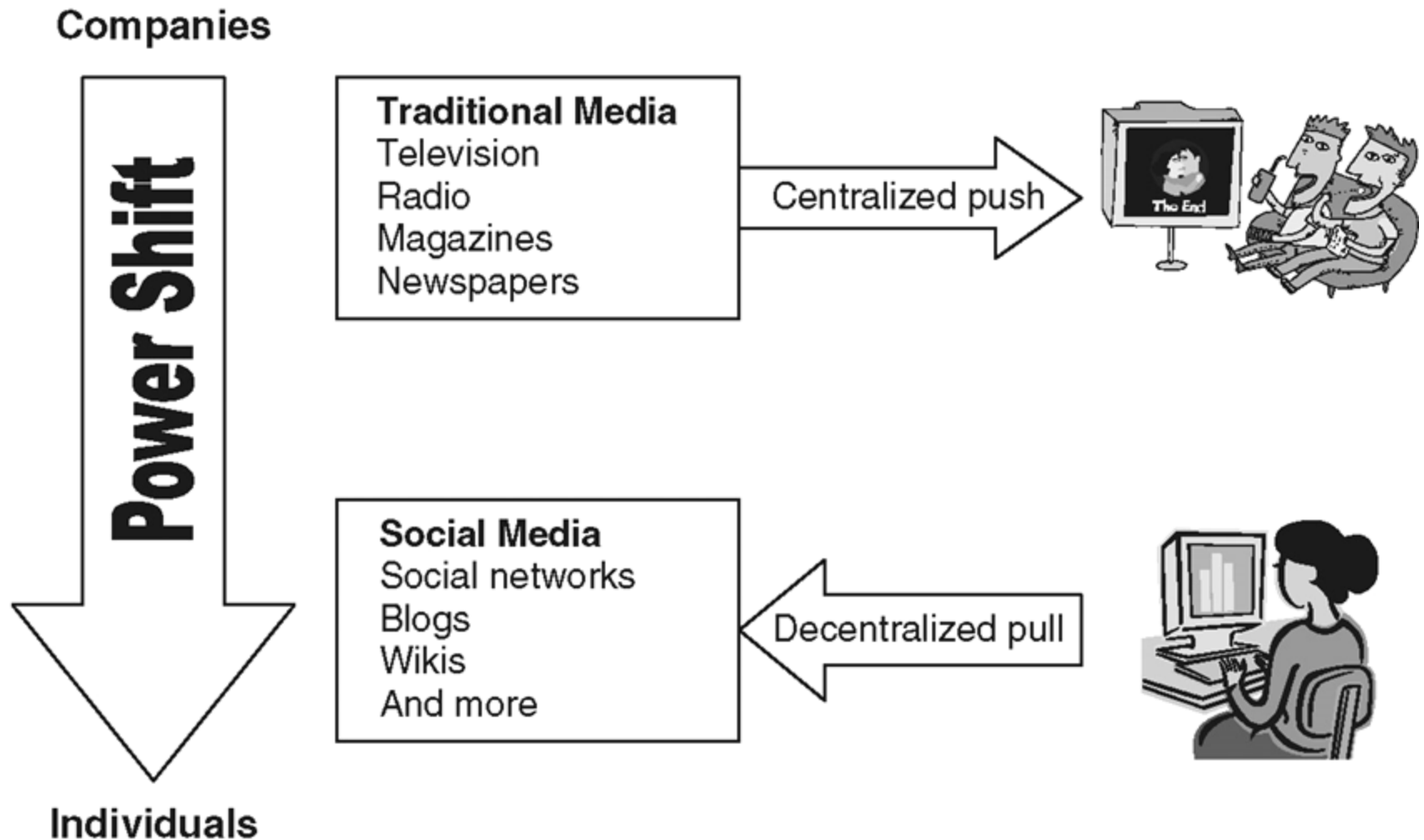
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McLean (2021)

Major SM Platforms

Importance can differ by country...





Consumer power

The New Power of Consumers to Influence Brands

- **Social media** will become a powerful tool that consumers will aggressively use to influence business attitudes and force companies into greater social responsibility
- Concerned consumers are realizing that they can use social media to organize themselves around shared values to start effective movements. Social media gives them a sounding board to share ideas, as well as a means to punish irresponsible corporate behaviors.

The effects of Digitization

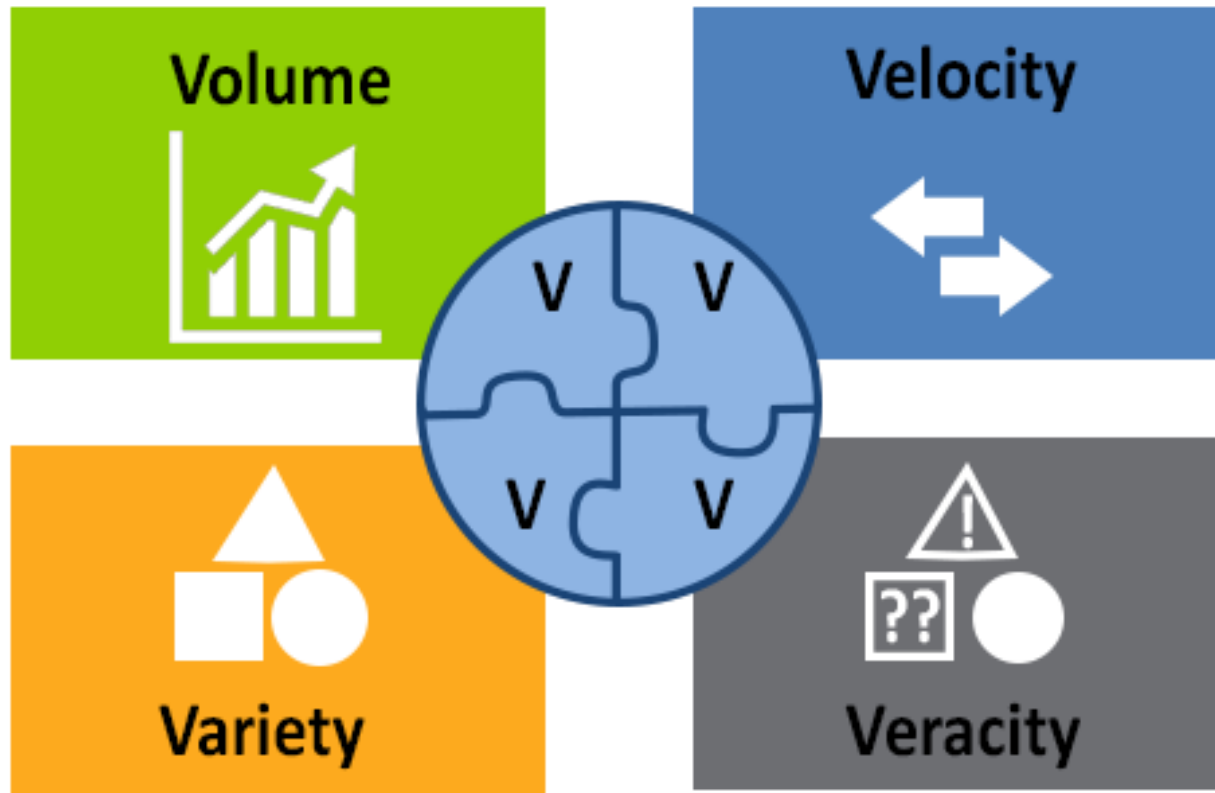
Databases

- Enable profiling
- Store records and attributes
- Database management system (DBMS):
- SQL (Structured Query Language):
 - Industry-standard database query and manipulation language used in a relational database
- Relational databases

Data Collection enables Big Data

- Big data
 - Petabyte, exabyte range
 - Web traffic, e-mail, social media, content
 - Traditional DBMS unable to process the increasing volume of data

4Vs of Big Data

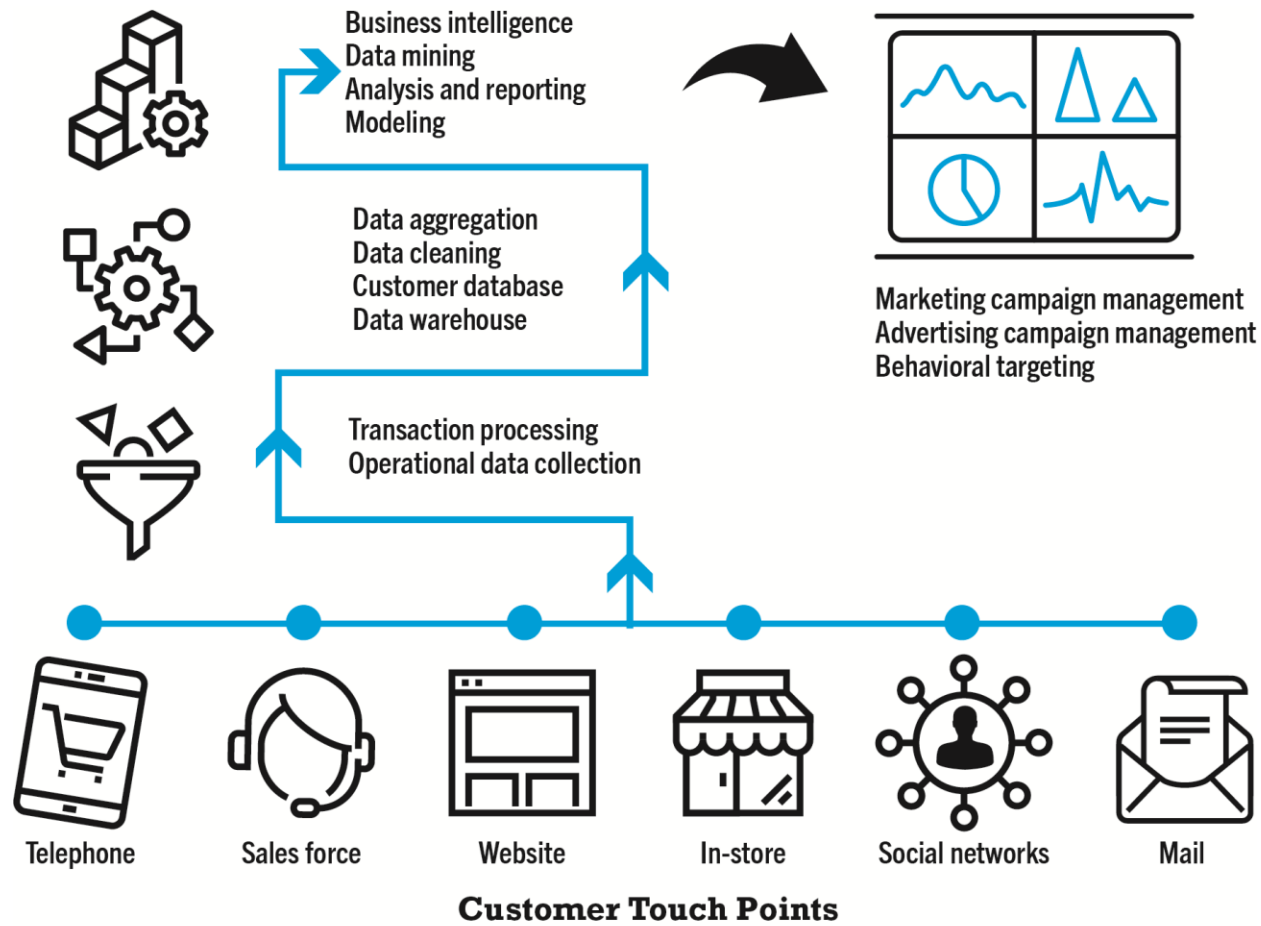


<https://www.zarantech.com/blog/the-4-vs-of-big-data/>

Marketing Automation and Customer Relationship Management (CRM) Systems

- Marketing automation systems
 - Track steps in lead generation
- CRM systems
 - Manage relationship with customers once purchase is made
 - Create customer profiles
- Customer data used to:
 - Develop and sell additional products
 - Identify profitable customers
 - Optimize service delivery, and so on

A Customer Relationship Management System



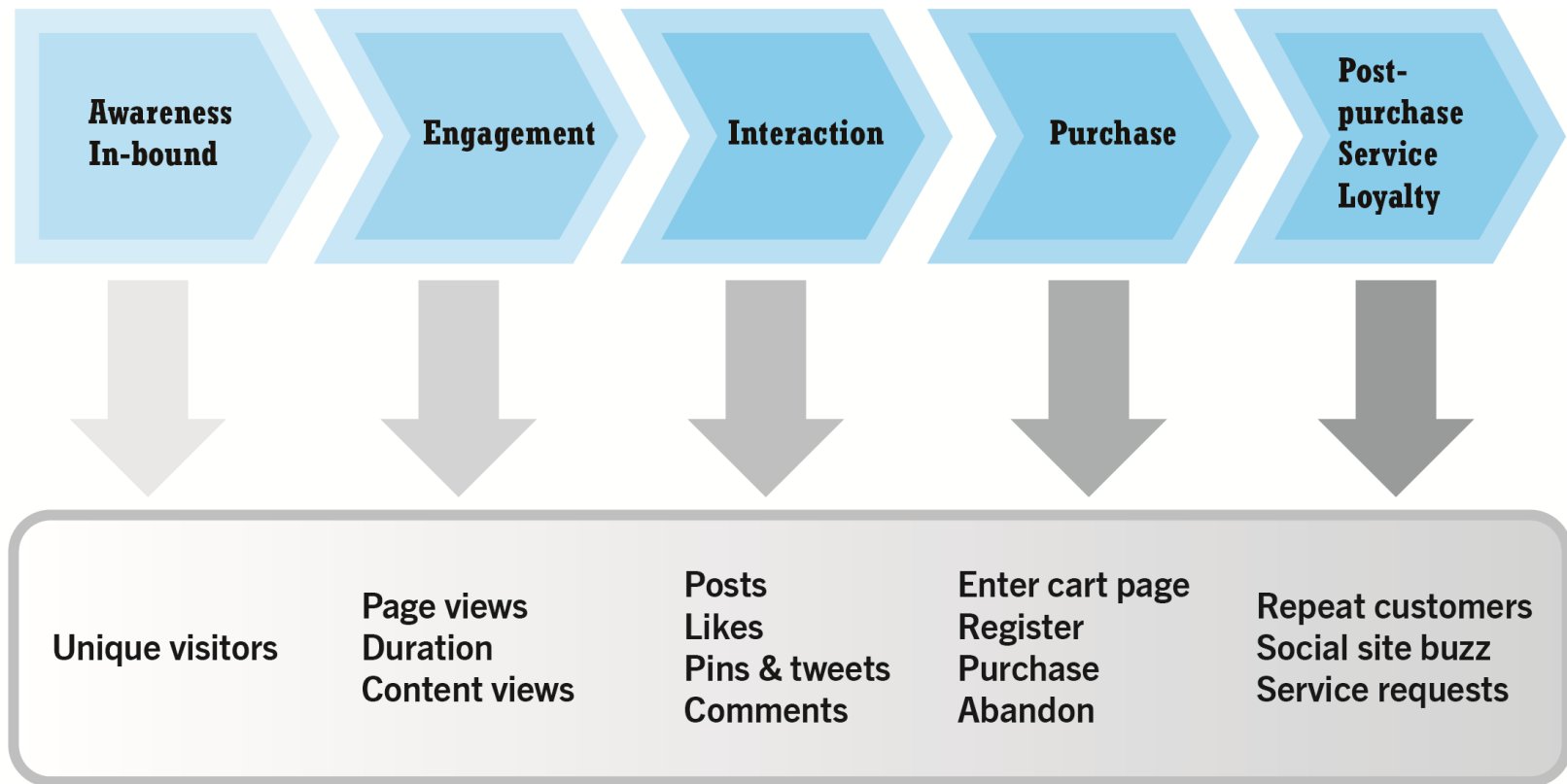
How Well Does Online Advertising Work?

- Use ROI to measure ad campaign
- Difficulty of cross-platform attribution
- Highest click-through rates: Search engine ads, permission e-mail campaigns
- Online channels compare favorably with traditional
- Most powerful marketing campaigns use multiple channels, including online, catalog, TV, radio, newspapers, stores

Marketing Analytics

- Software that analyzes data at each stage of the customer conversion process
 - Awareness
 - Engagement
 - Interaction
 - Purchase activity
 - Loyalty and post-purchase
- Helps managers
 - Optimize ROI on website and marketing efforts
 - Build detailed customer profiles
 - Measure impact of marketing campaigns

Web Analytics and the Online Purchasing Process



Questions??